

increasing the ceiling for FDI under the automatic route in oil refining from 49 per cent to 100 per cent. Further, in order to standardise India's FDI definition, a Committee was constituted by the Department of Industrial Policy and Promotion (DIPP) in May 2002 to bring the reporting system of FDI in India with international best practices. According to Economic survey 2003-04, the revised definition included three categories of capital flows under FDI: equity capital, reinvested earnings and other direct capital. Previously, the data on FDI reported in the balance of payments statistics used to include only equity capital.

This change in definition was called for in order to bring the reporting system of FDI data in India into alignment with best international practices. Thus, with increasing liberalisation India has become an important destination for FDI. At present 100 per cent FDI is provided in most of the sectors except in defence sector which is open to FDI subject to 26 per cent cap. Sectors where FDI is completely banned are Retail Trading (except single brand wholesale retailing), atomic energy, lottery, business including Government / private lottery, online lotteries, gambling and betting including casinos, business of Chit fund and Nidhi company, real estate business, or construction of farm houses, manufacturing of cigars, cheroots, cigarillos and cigarettes, of tobacco or of tobacco substitutes and trading in transferable development rights. Thus, with increased FDI there is an increased prevalence of multinational corporations as it is the companies that trade.

Check Your Progress 2

- 1) What do you mean by export pessimism? State the implications of export pessimism and import control prior to 1991 period.

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- 2) Identify the measures taken by the government to liberalise FDI policy post 1995.

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- 3) State the categories of FDI as identified in Economic Survey 2003-04.

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18.7 INDIA AND THE CHANGING NATURE OF WORLD TRADE

There has been a change in the nature of trade. During the Eighth WTO Ministerial Conference held in Geneva in 2011, some Ministers said that the WTO needed to pay more attention to global value chains (GVCs). A global value chain (GVC) is a chain of separate but inter-linked and coordinated activities, which can be undertaken within a single firm or be divided among multiple firms in different geographical locations to bring out a product or a service from conception to complete production and delivery to final consumers.

India participates strongly in manufacturing GVCs for chemicals, electrical instruments and other manufactures (for example, jewellery). India's participation in manufacturing GVCs is due to sourcing of intermediates from abroad. India also shows a high participation rate in services as well, especially business activities.

18.7.1 Trade in Services

Trade traditionally meant trade in goods. However, with several services becoming tradable and due to increased globalisation and integration of the economies, trade in services have become a common parlance among countries. The WTO under the General Agreement on Trade in Services (GATS) recognises three modes of trade in services. Mode 1 is by foreign companies investing in the country where the services are to be provided. Mode 2 is by off-shoring of the service to a foreign location. A good example of this are the call centres that have come up in many cities of India providing services such as answering consumer inquiries, taking orders, etc. Mode 3 is the movement of what in legal terminology is called 'natural persons', another term for migration.

Indian firms have established a strong presence in the world trade in services. Indian firms carry out a multitude of off-shoring tasks– from simple consumer service centres, to accounting services and the various business tasks called Business Process Outsourcing (BPO). These are also called IT Enabled Services (ITES), since they depend crucially on IT and communication technology.

18.7.2 Trade in Intellectual Property

In the WTO regime, trade issues have been somewhat broadened to include matters of Intellectual Property (IP) Rights (TRIPS or Trade Related Intellectual Property Rights). Under TRIPS, all member countries are required to have a similar IP protection law. Patent rights must be allowed for products and not only processes. Before the WTO requirement, Indian IT law protected only processes and not products. As a result, Indian pharmaceutical companies could develop different processes to 'reverse engineer' products initially made in the industrialised countries.

Another area of contention in trade policy is that towards agriculture. Agreements in this area have been stalled by the collapse of the Doha Round of WTO negotiations. The USA and European Union (EU) both provide large subsidies to their farmers. These are categorised in WTO terms under different colours— Red as trade distorting, such as an export duty or export subsidies, or Green for general support to the sector. But such general support also helps the subsidy-receiving farmers to export at lower prices. This brings down the price of agricultural commodities and could enable the developed countries to increase their agricultural exports. The developed countries have been pressing for an agreement to reduce or, even eliminate controls on agricultural imports.

India has insisted on maintaining controls on agricultural imports, even exports for that matter. The argument is basically that agriculture is not the production of a commodity but is also the means of livelihood of crores of small and medium farmers in the country. Particularly where new jobs in low-skill manufacturing are not growing so fast, India wants to protect its agriculture from cheap exports promoted by subsidies from the developed economies.

18.8 REGIONAL AGREEMENTS RELEVANT FOR INDIA

India has bilateral trade arrangements with all major regional groupings. In Europe, it is a part of European Free Trade Association (EFTA), consisting of Switzerland, Norway, Iceland and Liechtenstein. In 2018-19, India exports to and imports from EFTA stood at US\$ 1,534.00 million and US\$ 18,076.88 million, respectively. Among SAARC countries, India and Bangladesh have a bilateral trade agreement and both countries are exploring the possibility of entering into a bilateral Comprehensive Economic Partnership Agreement (CEPA). Negotiations for India and Iran entering into a Preferential Trading Agreement (PTA) are under way. Review meetings for India-Nepal Treaty of Trade are going on. With Sri Lanka, India has India-Sri Lanka Free Trade Agreement (ISLFTA), under which duty-free access for almost all the products except a few is provided. India is also negotiating a new Economic and Technology Cooperation Agreement (ETCA) with Sri Lanka. India and ASEAN have agreed to start examining the preliminary proposals related to the scope of the review of ASEAN India Trade in Goods Agreement (AITIGA). Within ASEAN, India has a Comprehensive Economic Cooperation Agreement (CECA) with Singapore, Thailand and Malaysia. Among Latin American countries, India has Preferential Trade Agreements (PTA) with MERCOSUR (Argentina, Brazil, Paraguay and Uruguay) and Chile. India has signed 28 bilateral / multilateral trade agreements with various country/group of countries. However, few agreements as discussed below seem relevant for India.

18.8.1 Regional Comprehensive Economic Partnership (RCEP)

Launched in Cambodia on December 20, 2012, the RCEP is an FTA between ASEAN and its FTA partners (Australia, Brunei, China, Cambodia, India, Indonesia, Japan, the Republic of Korea, Laos, Malaysia, Myanmar, New Zealand, the Philippines, Singapore, Thailand, and Vietnam). The sixteen participating countries account for almost half the world's population, 30 per cent of global GDP, and 25 per cent of world exports. RCEP seeks to achieve a modern, comprehensive, high-quality, and mutually beneficial economic partnership agreement that will cover trade in goods, services, investment, economic and technical cooperation, intellectual property, competition, and dispute settlement. India is participating in the RCEP negotiations but appears to be doing so with extreme caution.

18.9 RECENT SCENARIO IN INDIAN TRADE

In 2018-19, petroleum products were the largest exported commodity, in value terms, with a share of 14.1 per cent in the country's export basket. Other major exports included pearls, precious, semi-precious stones as also gold and other precious metal jewellery besides drug formulations, biological. However, exports of organic chemicals grew at the highest rate at 30.6 per cent in 2018-19. In the import basket of 2018-19, petroleum crude, at 22.2 per cent had the largest share followed by gold and other precious metals (Jewellery at 6.4 per cent and pearls precious/semi-precious stones at 5.3 per cent).

India's major trading partners are the United States of America (USA), which accounted for 16 per cent of India's exports (in value terms) in 2018-19, followed by the United Arab Emirates (UAE), China and Hong Kong. However, in 2018-19, growth of India's exports to the Netherlands was the highest (40.7 per cent), followed by China (25.6 per cent) and Nepal (17.4 per cent). China continues to be the largest source of imports of India accounting for 13.7 per cent of the total imported value in 2018-19. The other important sources from which India imports are the USA, UAE and Saudi Arabia.

In 2018-19, India's exports to countries with which it has a trade agreement stood at US\$ 121.7 billion accounting for 36.9 per cent of India's export to all the countries. Similarly, in the same year, India's imports from countries with which it has a trade agreement stood at US\$ 266.9 billion accounting for 52.0 per cent of India's imports from all the countries.

18.10 TRADE POLICY OF INDIA 2015-2020

The Government of India announced a Foreign Trade Policy for the period 2015-2020 on 1st April, 2015. The important measures taken by the Government in the Foreign Trade Policy 2015-2020 to include 'Make in India' and 'Digital India' programmes and to ease the trade are:

- i) Specific Export Obligation under Export Promotion Capital Goods (EPCG) scheme, in case capital goods are procured from indigenous manufacturers, has been reduced to 75 per cent of the normal export obligation, in order to promote domestic capital goods manufacturing industry.
- ii) Under Merchandise Exports from India Scheme (MEIS), export items with high domestic content and value addition have generally been provided higher level of rewards.
- iii) For reward schemes and duty exemption schemes, hard copies of applications and specified documents which were required to be submitted earlier have now been dispensed with.
- iv) Landing documents of export consignment as proof for notified market can now be digitally uploaded.
- v) There will be no need to submit copies of permanent records / documents repeatedly with each application, once the same are uploaded in Exporter/Importer Profile.
- vi) For faster and paperless communication with various Committees of Directorate General of Foreign Trade (DGFT), dedicated e-mail addresses have been provided for various Committees, e.g. Norms Committees, Exim Facilitation Committee, etc.

The Foreign Trade Policy 2015-2020 introduced two new schemes, namely, 'Merchandise Exports from India Scheme' (MEIS) for incentivising export of specified goods to specified markets and 'Services Exports from India Scheme' (SEIS) for increasing exports of notified services from India. The scrips can be used for payment of customs duty, excise duty and service tax. All duty credit scrips issued under both the schemes and the goods imported against these scrips are fully transferable. Further, e-Commerce exports of certain specified employment creating sectors, made through courier or foreign post offices, have been supported under MEIS.

Check Your Progress 3

- 1) State the features of changing nature of world trade.
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- 2) Discuss the relevance of trade with respect to intellectual property and agriculture issues.
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- 3) Identify the major features of Exim policy 2015-20 aiming to the export of goods and services.

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18.11 LET US SUM UP

Trade policy refers to all the policies related to both exports and imports. Countries use different instruments of trade policy while framing their own trade policy. For example, most developing countries believed in import pessimism. In the case of India, prior to 1991, Indian trade policy was characterised by export pessimism and import controls. This situation began to change in the 1980's and the control regime was abandoned after 1991 economic reforms. In the changed situation of world trade, firms in the developing economies have managed to get entry into developed economy markets. India also accounts for a larger share of FDI inflows and its FDI policy is being liberalised regularly. India accounts for a substantial share of world trade in the services sector. Agricultural products due to subsidy to its farmers by developed countries are another area of controversy in trade policy. India has bilateral trade arrangements with all major regional groupings and the most controversial one is the RCEP. The long-term export-import policy 2015-20 aimed at doubling India's share in global trade by 2020 and accelerating the country's contribution to the global vibrant economy to derive maximum benefits from expanding global market opportunities. The country is on track to achieve the \$1-trillion export target by 2025 with the government and industry deliberating on measures to boost exports, manufacturing and the new foreign trade policy.

18.12 TERM-END EXERCISES

- 1) India's trade policy prior to 1991 was derived from the policy of self-reliance. In the light of this statement critically evaluate India's trade policy.
- 2) Explain the important issues which are crucial and hence need to be addressed in India's trade policy.
- 3) Critically evaluate trade policy of India 2015-20.
- 4) Discuss India's position in changing the nature of world trade.
- 5) Highlight the features of FDI policy in India since 1985.

18.13 KEY WORDS

- General Agreement on Trade in Services (GATS)** : This is the agreement on trade in services, which forms part of the WTO agreements. The preceding GATT did not have any agreement dealing with services. At that time, until the 1990s, there was not much trade in services.
- Multi-National Corporation (MNC)** : An MNC, sometimes also called a TNC or Trans-national Corporation, refers to a corporation that has subsidiaries or branches in more than one country. The branches may often be 100 per cent owned by the parent corporation, but they may also be with minority investment.
- Regional Trade** : Refers to trade within a region, such as Europe, or Asia or parts of Asia. Regional trade has often led to Regional Free Trade Agreements (RFTAs).
- WTO - World Trade Organisation** : Set up as the successor to the General Agreement on Trade and Tariffs (GATT). Its headquarters is in Geneva, Switzerland. The WTO is a membership-based organisation. A member, on being accepted, agrees to all the instruments of the organisation. Unlike GATT, the WTO has a dispute resolution mechanism. Any member is free to take up a case against any other member. This allows for formal equality, but it is often difficult, because of the cost of engaging lawyers in Geneva. But India, for instance, has filed and won cases against the US. Voting in the WTO, as in the UN General Assembly, is 'one country, one vote'. But decisions are usually arrived at through informal consultation mechanisms.

18.14 REFERENCES

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- 4) Ministry of Finance, Economic Survey.
- 5) FDI in India: History Policy and the Asian Perspectives by Manoj Pant and Deepika Srivastava.

18.15 ANSWERS OR HINTS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

- 1) See Section 18.3
- 2) See Section 18.4

Check Your Progress 2

- 1) See Sub-section 18.6.1
- 2) See Sub-section 18.6.3
- 3) Equity Capital, reinvested earnings, direct capital

Check Your Progress 3

- 1) See Section 18.7
- 2) See Sub-sections 18.7.2 and 18.7.3
- 3) See Section 18.10



UNIT 19 FOREIGN TRADE AND BALANCE OF PAYMENT

Structure

- 19.0 Objectives
- 19.1 Introduction
- 19.2 Trade and Economic Development
 - 19.2.1 Trade Policy Analysis Tools
 - 19.2.2 Composition of Trade
 - 19.2.3 Direction of Trade
- 19.3 India's Foreign Trade
 - 19.3.1 Volume of India's Merchandise Trade
 - 19.3.2 Volume of India's Trade in Services
 - 19.3.3 Composition of India's Merchandise Trade
 - 19.3.3.1 Composition of India's Merchandise Exports
 - 19.3.3.2 Composition of India's Merchandise Imports
 - 19.3.4 Composition of India's Trade in Services
 - 19.3.5 Direction of India's Foreign Trade
- 19.4 India's Balance of Payments
 - 19.4.1 The Current Account
 - 19.4.2 The Capital Account
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 - 19.4.4 Net Errors and Omissions
- 19.5 India's Balance of Payments – Recent Trends
 - 19.5.1 The Salient Features of India's BOP
- 19.6 External Debt
- 19.7 Let Us Sum Up
- 19.8 Key Words
- 19.9 References
- 19.10 Answers or Hints to Check Your Progress Exercises

19.0 OBJECTIVES

After going through this unit, you will be able to :

- discuss the role of foreign trade in economic development of a country;
- evaluate India's foreign trade and the changes in its direction and composition;
- assess India's position of balance of payment;
- outline the policy framework for restoring equilibrium in balance of payments.